



Presented by Arisa Boonsue



TKN

TaoKaeNoi Food and Marketing Co.,Ltd.



Emerged from turbulence, crispy seaweed snacks is soaring to new heights

Business overview

TKN is a Thai exporter leader of seaweed snacks in Asia.





Vision

To become a company that brings about food innovation that brings happiness to consumers worldwide.

With 3 GO

Go firm, Go aboard, Go global

Core Business

Product Line

Average sales in 2020-2022

95%



Crispy seaweed Grilled seaweed

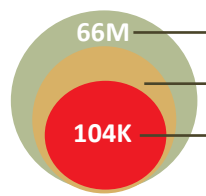
5%



Roasted seaweed Tempura Seaweed Non-seaweed

Target Customer

Domestic Market



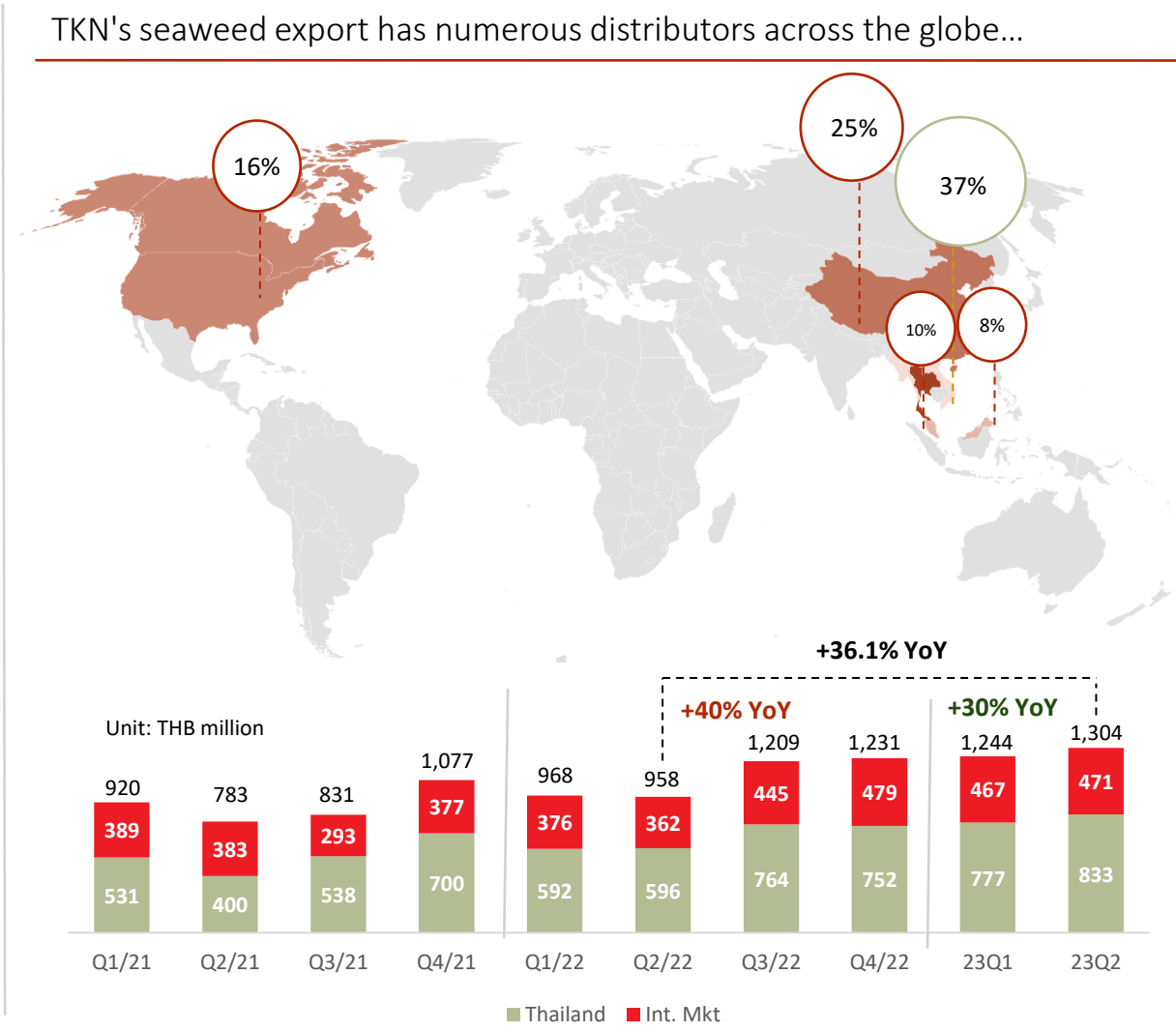
66M — People aged 15-54
6.5% market share in snack
104K — 4% market share of TKN

Characteristic Prefer in Healthy Snack and seaweed lovers

International Market

Characteristic

- Prefer in Healthy Snack and seaweed lovers
- Gift from Thailand



Resource: TKN annual report 2022

Industry and market overview

Seaweed Snack continued to be Asian favor snack



The seaweed snack market is famous in Asia-Pacific, especially South Korea, China, and Thailand.

18.50 %

CAGR of Seaweed Snack market size during 2023-2029

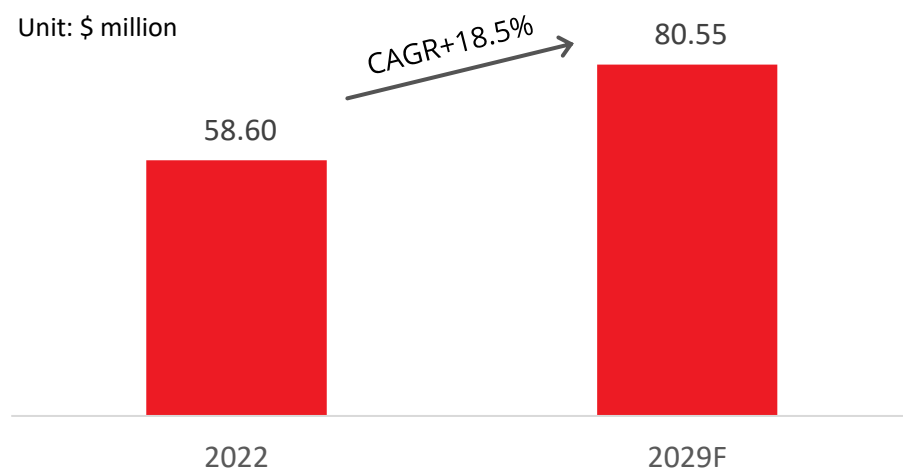
(source: [Blue wave consulting](#))

\$80.50 M

Market size of Asia Pacific Seaweed Snack market in 2029

(source: [Stellar Market research](#))

Unit: \$ million



TKN is well-positioned to capture the seaweed snack demand in Thailand and China.

65%

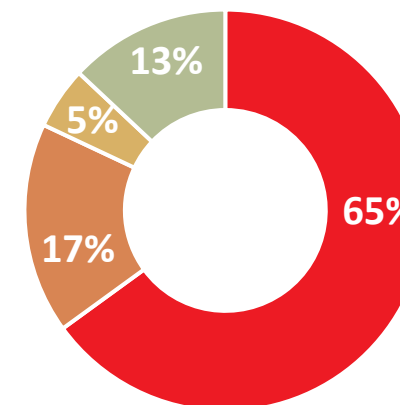
The largest market share in the Thai seaweed snack market in 2022

(source: Annual report 2022)

5th

The TOP 5 Market share of selling on Taobao in 2023

(source: [amarintv TV](#))



■ Taokaenoi ■ Masita ■ Seleco ■ Others

Executive summary

Prioritized four three assumptions driving TKN to achieve a positive net margin.



BUY recommendation

Last close 13/9/23:
THB 13.20

12M Target:
THB 14.44

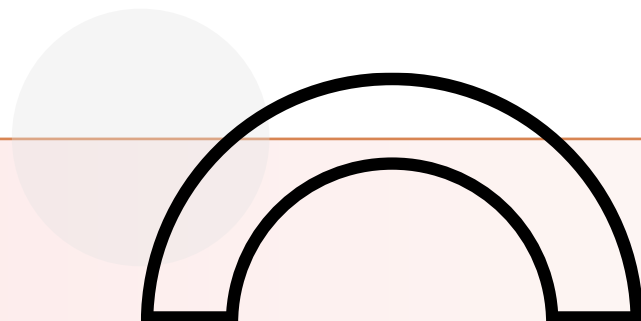
Upside:
1.24%

Key assumption	Company solution	Upside effects		Downside effects	Outcome
 The growth of tourism in Thailand	- Opening Taokaenoi Land and Shop in Shop - Expanding 14 traditional distributors in local area	18.50 % CAGR of seaweed snack in 2023-2029	3.75% CAGR of Thai tourism in 2023-2029	Increase in cost of investment and distribution - A need for greater capacity for the factory to serve the demand	High + Gross Profit
 Tapping in the overseas markets	Focusing on increase export in US and Muslim Market (Malaysia and Indonesia)	TOP 5 Market share rank in the targeted market	High Potential growth rate from previous year	- The effect from exchange rate Increase in cost of distribution and R&D - Need more capacity for the factory to serve the demand	High + Gross Profit
 Investment in Automation	Investing in more automation production to decrease labor costs	37.00% The less of Utilization rate from 2022	High Save cost of	- High cost of investment Cyber security concerns	High + Gross Profit



GO BROAD

Expanding the demand growth of tourism in Thailand



Expanding the demand growth of tourism in Thailand

Taokaenoi is Coming back...



TKN expands the distributors and marketing strategy, a collab with influence for welcoming tourists...



Reopened **Taokaenoi Land** in the tourist destinations, including a branch at Asiatique The Riverfront



Introduced **Shop in Shop concepts** in collaboration with the mall group and Skyport at Don Mueang Airport



Expanding the demand growth of tourism in Thailand

Outcome after contingency plan

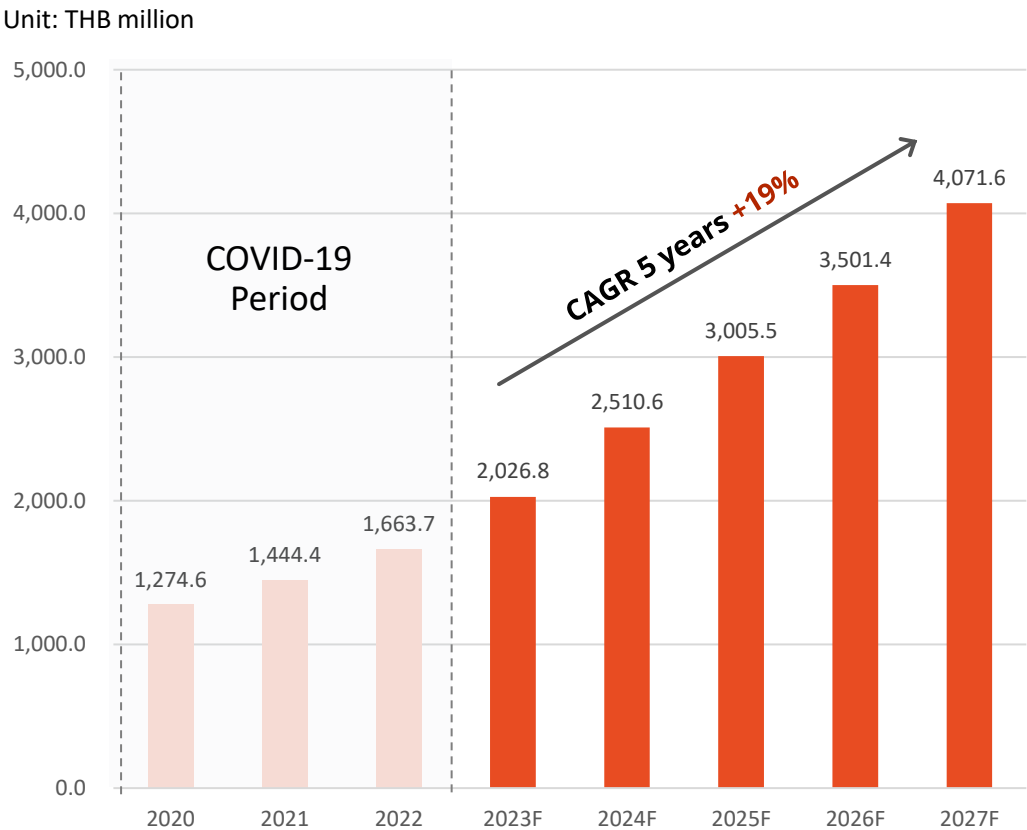
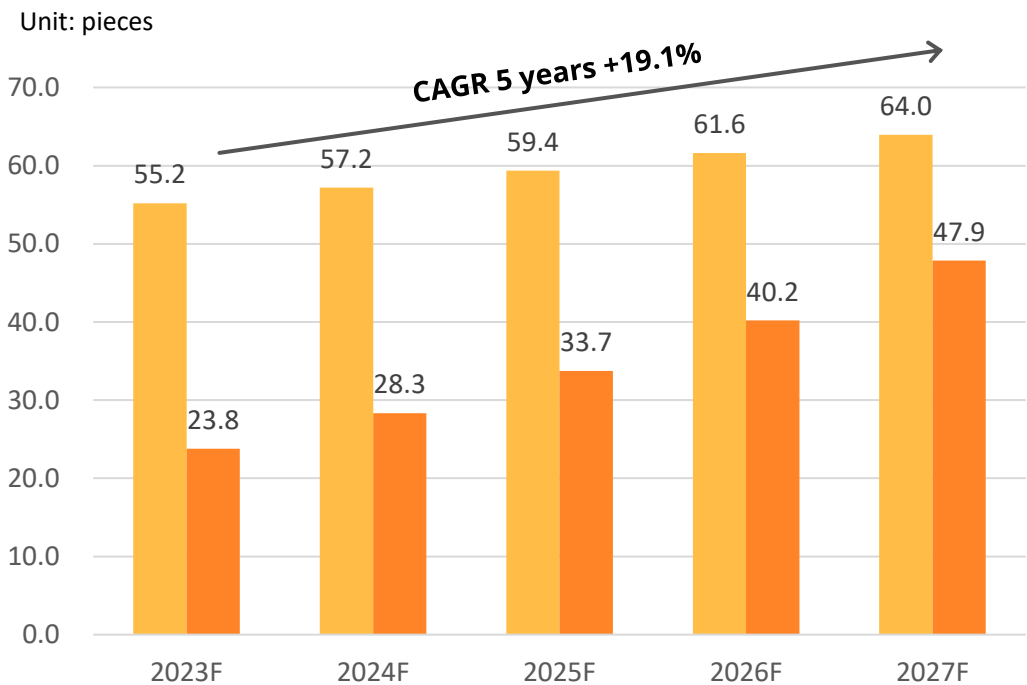


Thailand's significant tourism growth rate has led to substantial income for TKN.

...leading to a 22% increase in income of TKN's domestic market from 2022 to 2023

THB 41

The average price of TKN in 2023, while the other price will increase by **2% due to inflation**.



source: [sdgmove](#) & [ttb analysis](#)



GO GLOBAL

Tapping in the international market

Tapping in the overseas market

The three new stars of overseas market



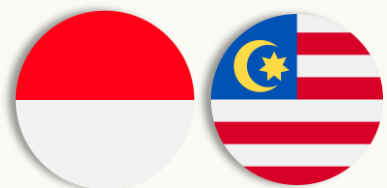
The TKN explores more in the US, Malaysia, and Indonesia markets; all are the next top-tier marketplace.



55%
TOP5

Growth rate of export in **US market**: The largest expansion in overseas market in 2022

Of seaweed snack market Share in US
(Source: [stellarmr](#))



34%

Seize

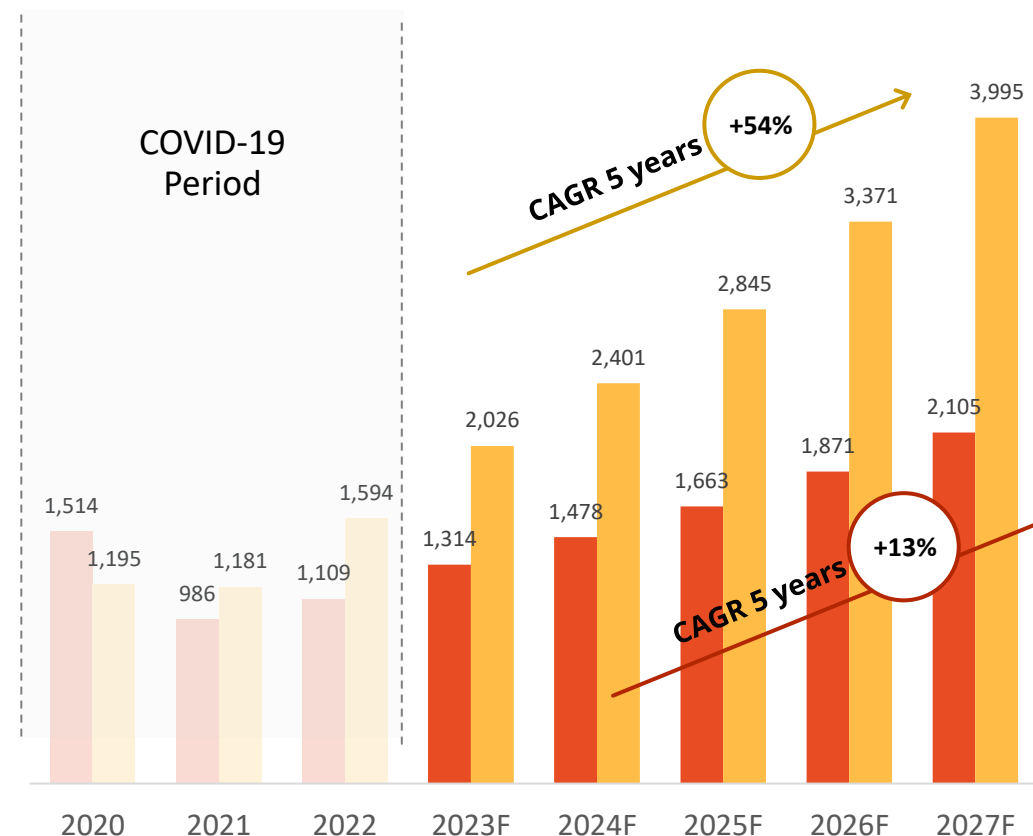
Growth rate of export in **Muslim Market (Malaysia and Indonesia)**: The 2nd largest expansion in overseas market in 2022

Market shares from the **main rival in Indonesia**

Focusing on increased exports in the overseas market while China is slightly growing due to deflation.

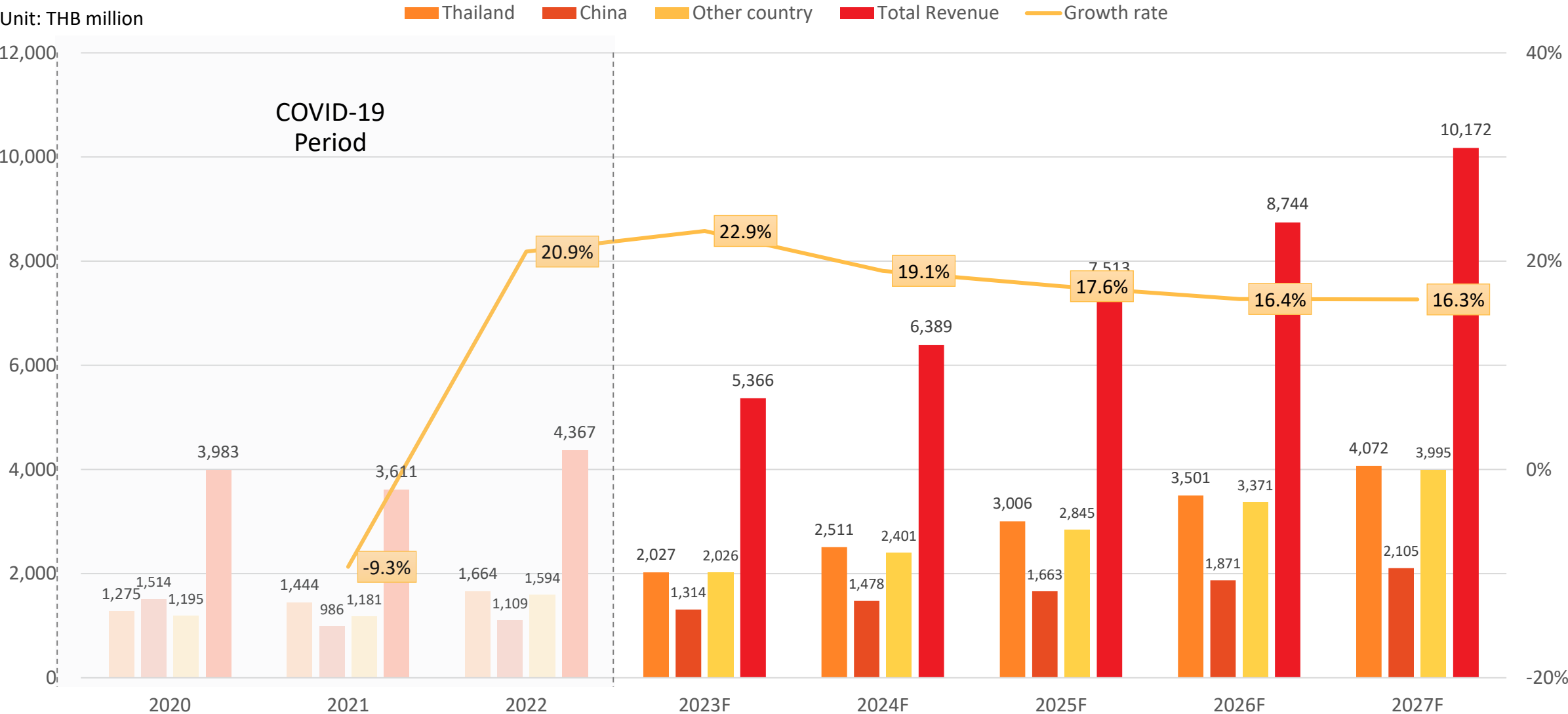
Unit: THB million

■ China ■ Other countries



Revenue Performance

Revenue forecasting for TKN from 2023FY to 2027FY





GO FIRM

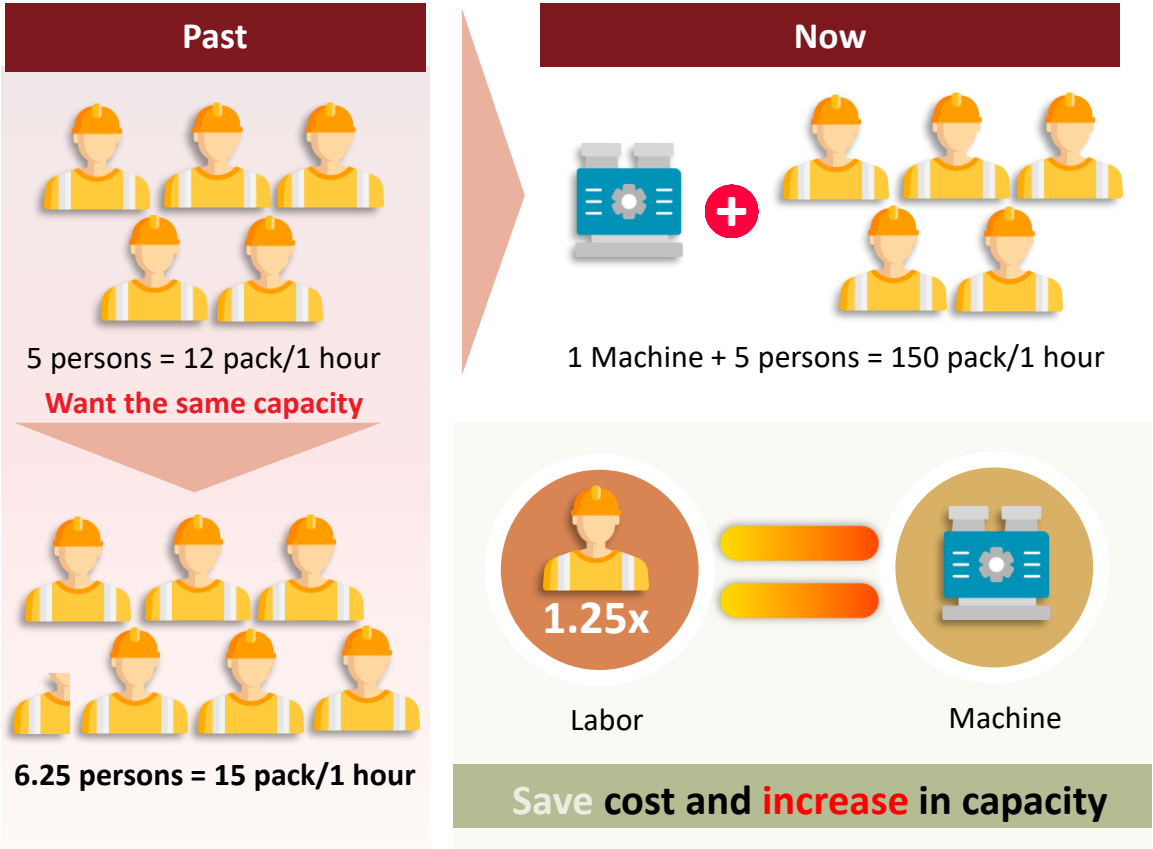
Improving net margin increase shareholder return

Improving net margin increase shareholder return

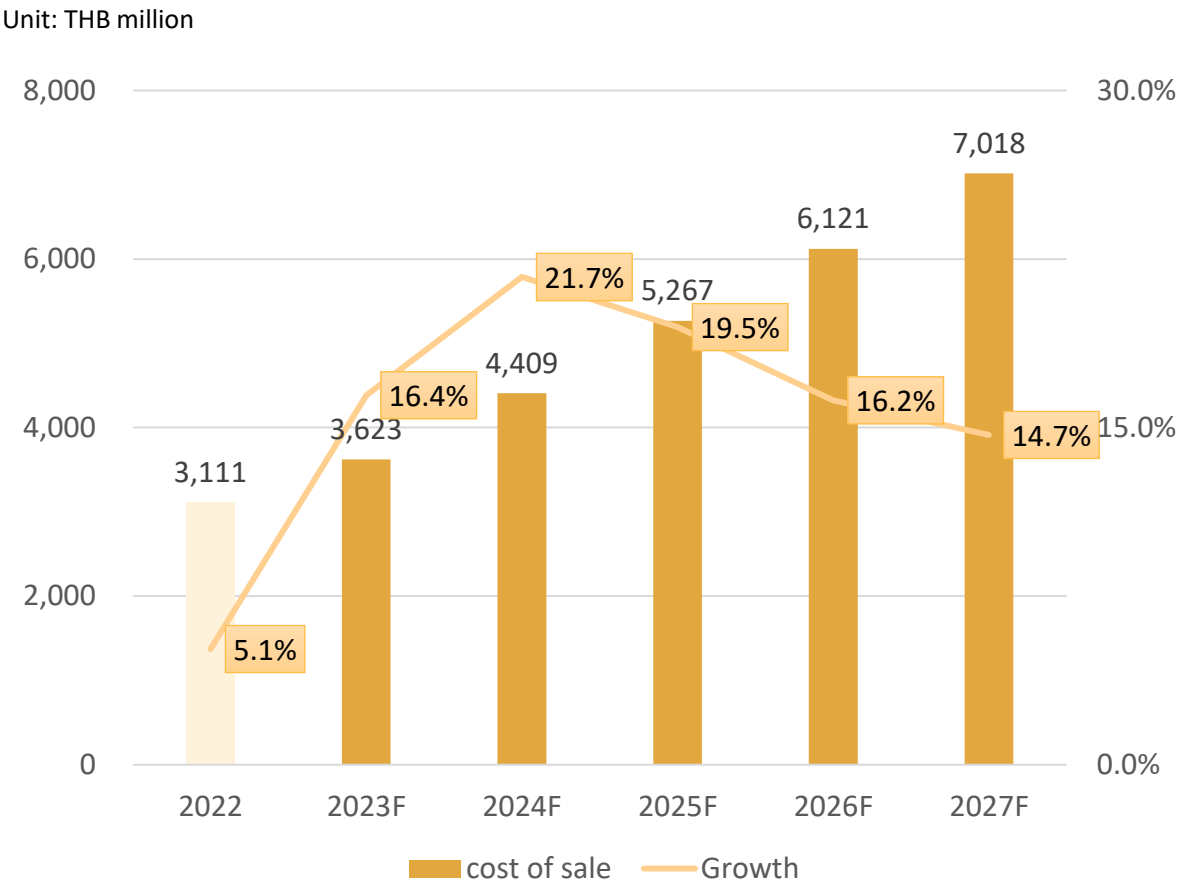
TKN invests in automation production to upscale production efficiency.



Why should TKN apply automation? Does it lead to success and help the company save labor costs?



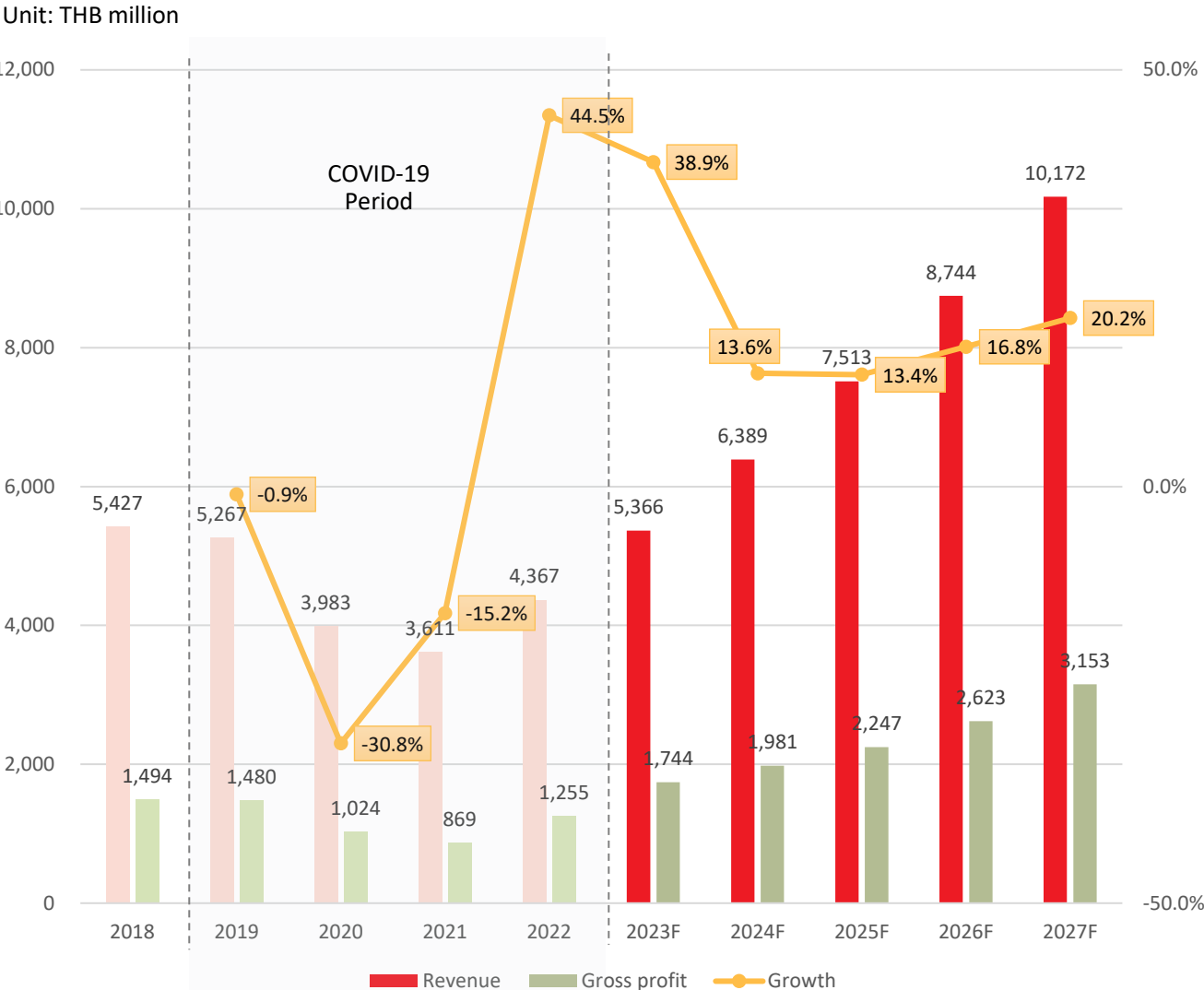
With automated production, in 5 years, TKN can save on costs of sales by using automation instead of labor.



Example: [The case of Crispy seaweed factory](#)

Improving net margin increase shareholder return

TKN invests in automation production to upscale production efficiency.



The massive amount of automation in production can save TKN costs in the long term.

17%

For 5 years, TKN can save on costs of sales by using automation instead of labor.

This show the successful case before...

10%

of reducing Labor costs because it integrated production capacity at Rojana factory over the past 2-3 years

32%

ROI can be achieved within four years, leading to an 80% increase in capacity
(Source: [The case study of Primark](#))

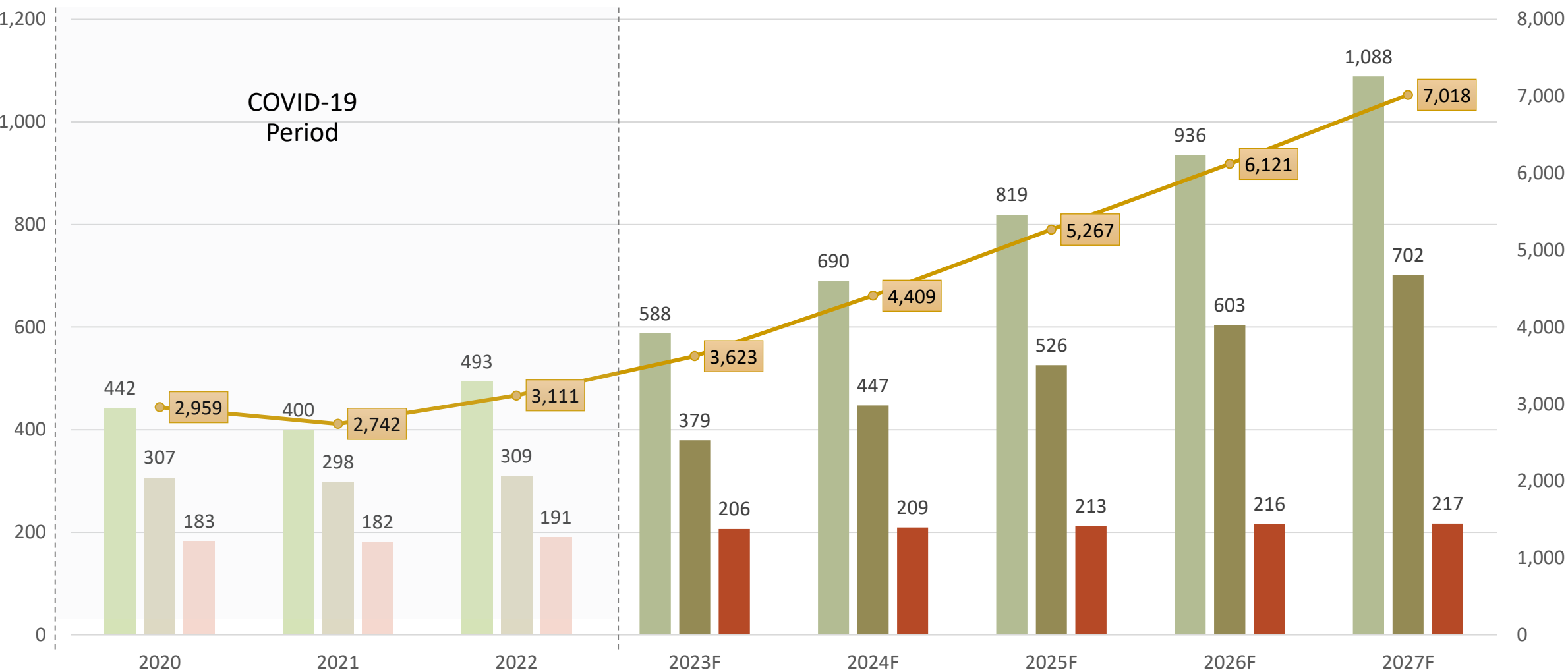
Expenditure Performance

Expense forecasting for TKN from 2023FY to 2027FY



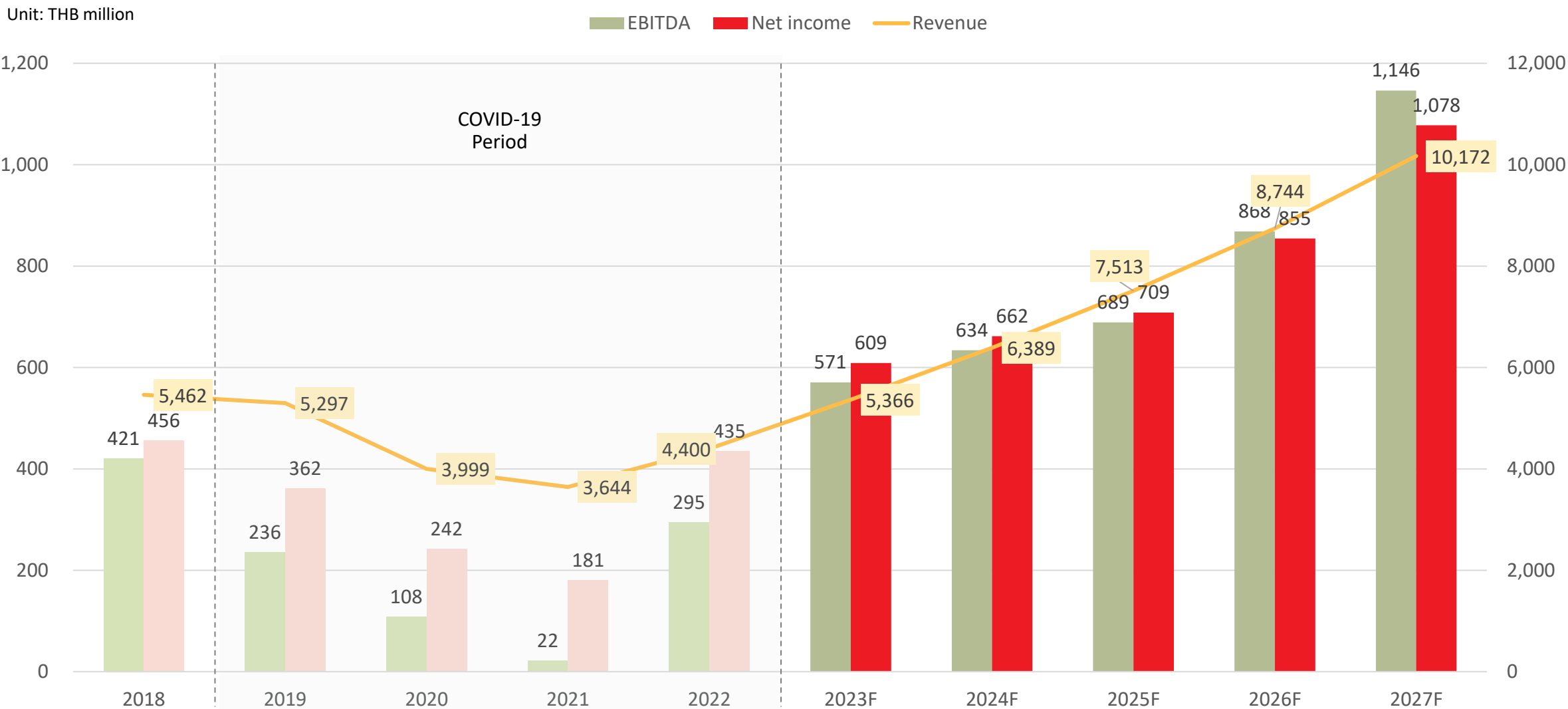
Unit: THB million

Distribution costs Administrative expenses Depreciation and amortization cost of sale



TKN Performance

Strengthening net profit margin with the overseas market expansion and efficiency effort.





Valuation and investment risk

Soaring with a margin of safety

Valuation

Discounted cash flow: forecasting from 2023FY-2027FY

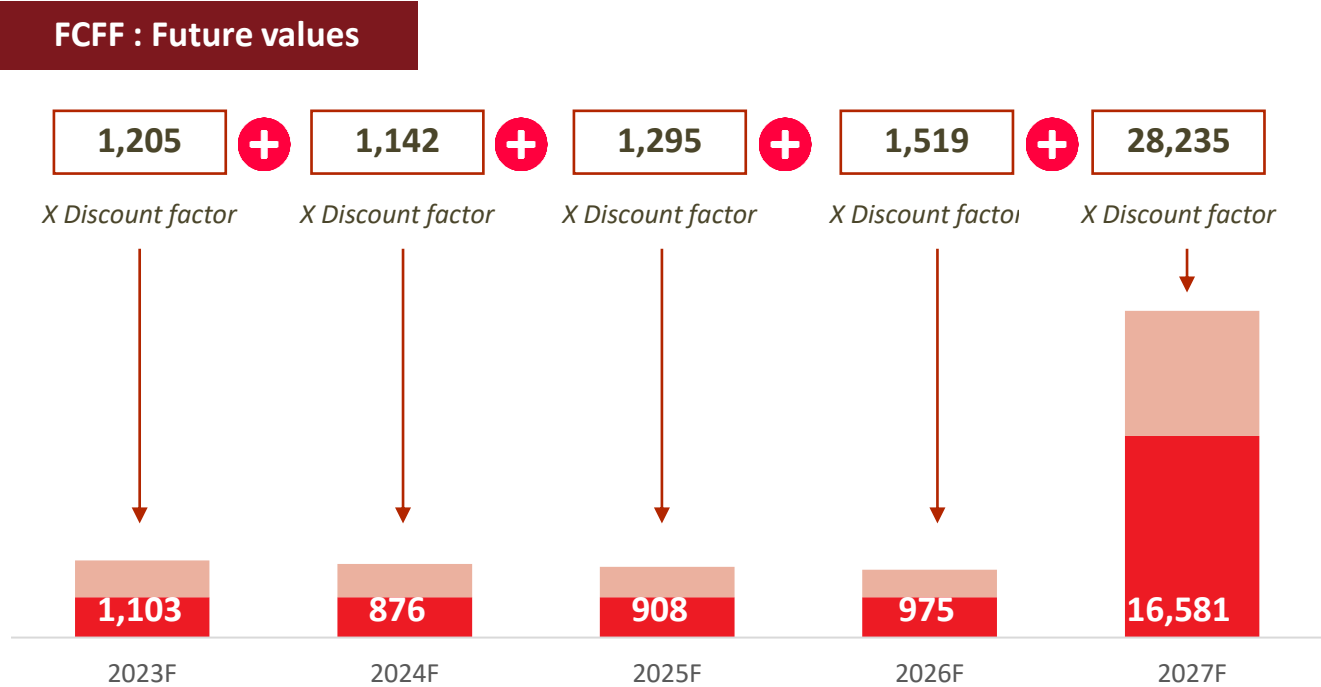


TKN's equity value is THB 21.1 billion, and its **share price is THB 14.44**, indicating a 1.24% upside potential.

9.28%

Discount factor when discount rate = WACC

THB 20.4 bn
Enterprise values



WACC Calculation

WACC 9.28%	Risk – Free rate (15Y)	2.89%
	Beta	1.11
	Market Risk Premium (15Y)	4.27%
	Cost of Equity	4.42%
	Cost of Debt	21%
	Tax Rate	20%
	Equity Value	THB 2,276M
	Debt Value	THB 969M

Terminal Growth

Growth 2%	Average Inflation rate
	- Thailand - China - USA - Malaysia - Indonesia

Key Financial Analysis and Sensitivity

Stress test presents limited downsides, firming TKN valuation



With +/- 1.00% of WACC and terminal growth, a share price is between 13.97 and 15.16

Sensitivity : share price unit: THB		WACC				
	14.44	9.08%	9.18%	9.28%	9.38%	9.48%
Terminal Growth	1.80%	14.57	14.80	14.80	14.57	14.12
	1.90%	14.41	14.63	14.63	14.41	13.97
	2.00%	14.41	14.63	14.63	14.41	13.97
	2.10%	14.57	14.80	14.80	14.57	14.12
	2.20%	14.91	15.16	15.16	14.91	14.44

Sensitivity : Equity value unit: THB mn		WACC				
	19,932	9.08%	9.18%	9.28%	9.38%	9.48%
Terminal Growth	1.80%	20,107	20,429	20,429	20,107	19,488
	1.90%	19,880	20,195	20,195	19,880	19,275
	2.00%	19,880	20,195	20,195	19,880	19,275
	2.10%	20,107	20,429	20,429	20,107	19,488
	2.20%	20,580	20,918	20,918	20,580	19,932

Key Financial Analysis in 2023FY

11.34%

Net profit margin

26.61%

Return on Equity

0.54

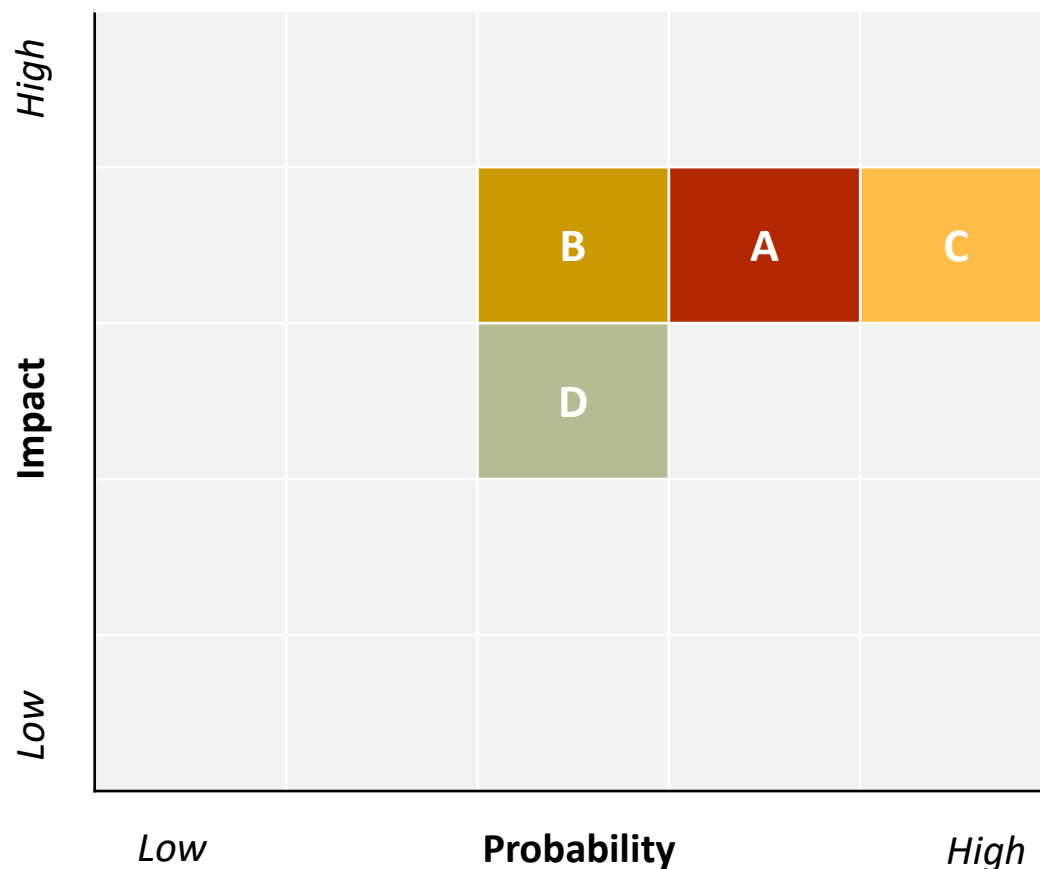
Debt-Equity ratio

0.44

Earning per share

Investment risk

We recognize four key downside risks to our BUY recommendation



A

Raw material side effect:

Due to Releasing nuclear waste in Japan, leading to increase in cost of exporting seaweed from Korea (29% of COGS).

B

COVID-19 effect:

The COVID-19 situation in Thailand has improved, while globally, there has been an increase in new COVID-19 cases.

C

Government policy effect:

Due to the government policy to up the minimum wage from THB 362 to THB 600 within 2024, it leads to increase in Labor cost.

D

Fluctuations in exchange rates and inflation rate effect:

Due to the majority of sales coming from overseas markets, it have an influence on the costs of raw materials and exports prices.

Conclusion

TKN is set to soar after experiencing turbulence



Issue a **BUY** recommendation



THB 14.44

12-month target price

↑ 1.24%
Upside

THB13.20
Close price
(13/9/23)

Why should we buy?



Expanding the demand growth of tourism in Thailand



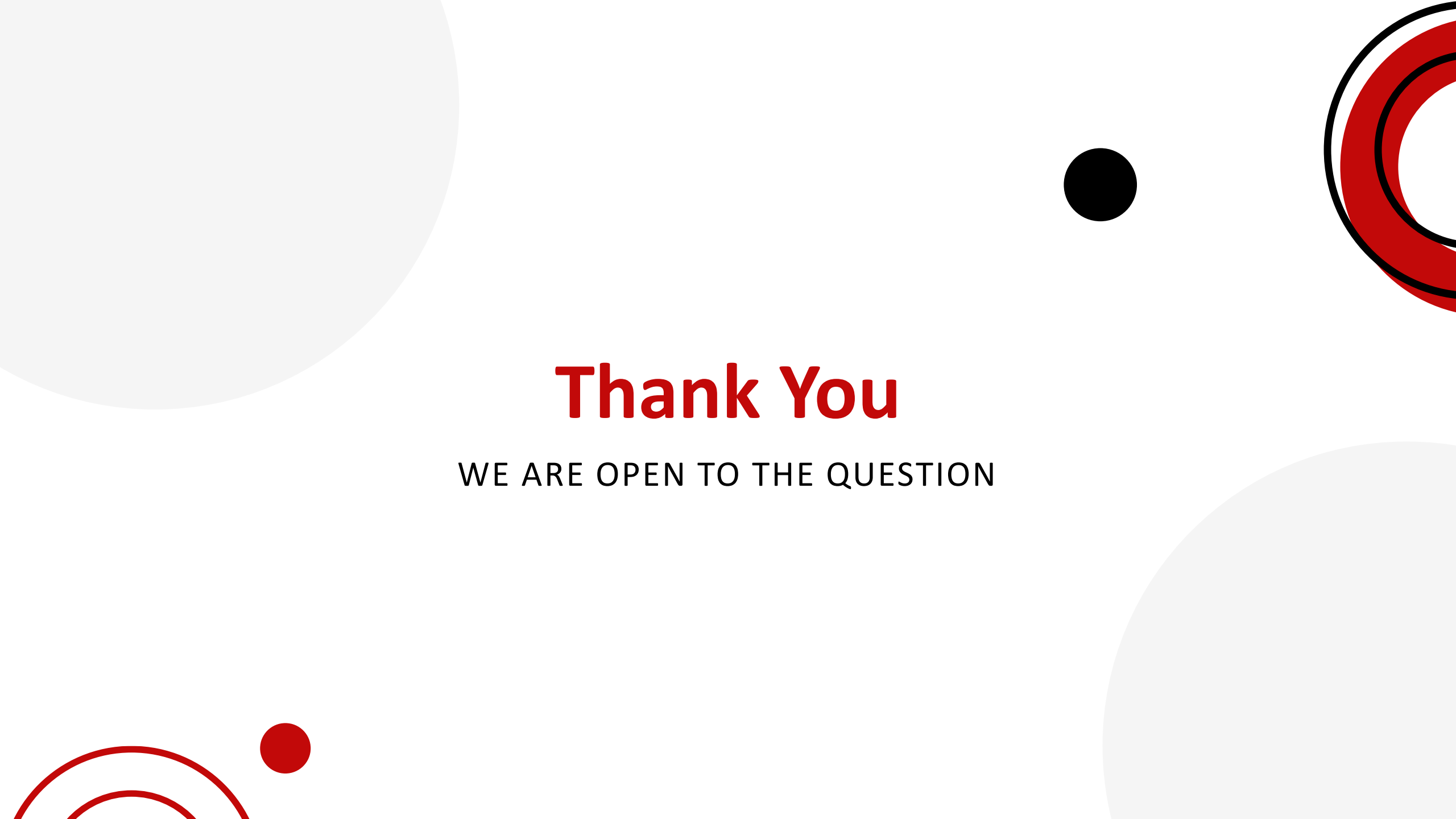
Tapping in the international market



Improving net margin increase shareholder return



A share price is between the sensitivity of 13.97 and 15.16



Thank You

WE ARE OPEN TO THE QUESTION

Appendix

Financial income statement

TKN	2566	2567	2568	2569	2570
Unit : K Baht	2023E	2024E	2025E	2026E	2027E
Note					
Income statement					
Revenues					
Revenue from sales	5,366,497	6,389,443	7,513,486	8,743,722	10,171,684
Gain on exchange rates - net	0	0	0	0	0
Other income	0	0	0	0	0
Net revenues	5,366,497	6,389,443	7,513,486	8,743,722	10,171,684
Cost of sales	(3,622,621)	(4,408,716)	(5,266,954)	(6,120,605)	(7,018,462)
Gross profit	1,743,875	1,980,727	2,246,532	2,623,117	3,153,222
Expense					
Distribution costs	(587,623)	(690,060)	(818,970)	(935,578)	(1,088,370)
Administrative expenses	(379,317)	(447,261)	(525,944)	(603,317)	(701,846)
Loss on exchange rates	0	0	0	0	0
Total Exp.	(966,940)	(1,137,321)	(1,344,914)	(1,538,895)	(1,790,216)
EBITDA	570,600	633,993	689,058	868,451	1,146,408
Depreciation	206,336	209,414	212,561	215,771	216,598
Share of loss from investment in associate	0	0	0	0	0
EBIT	776,936	843,407	901,618	1,084,222	1,363,006
Finance costs	(15,981)	(15,981)	(15,981)	(15,981)	(15,981)
EBT	760,955	827,426	885,638	1,068,241	1,347,025
Income tax expense	(152,191) 	(165,485) 	(177,128) 	(213,648) 	(269,405)
Net Income	608,764	661,941	708,510	854,593	1,077,620

Appendix

Balance sheet – Asset

TKN Unit : K Baht	Note	2566 2023E	2567 2024E	2568 2025E	2569 2026E	2570 2027E
Balance sheet						
Assets						
Current Assets						
Cash and cash equivalents		146,228	113,353	153,870	247,420	432,870
Trade and other current receivables		744,846	886,826	1,042,838	1,213,590	1,411,784
Temporary investments		0	0	0	0	0
Inventories		1,250,203	1,521,492	1,817,679	2,112,283	2,422,142
Other current assets		340,913	405,897	477,304	555,456	646,169
Total Current Assets		2,482,190	2,927,569	3,491,690	4,128,748	4,912,966
Non-Current Assets						
Long-term loans to related company		0	0	0	0	0
Investment In Subsidiaries, Associates And Joint Ventures Using The Equity Method - Net		9,677	9,677	9,677	9,677	9,677
Property, plant and equipment		759,563	580,926	400,364	217,812	35,654
Right-of-use assets		67,789	62,001	56,114	50,128	44,043
Goodwill		13,196	13,196	13,196	13,196	13,196
Other intangible assets		46,664	39,486	31,186	21,764	11,220
Deferred tax assets		85,570	85,570	85,570	85,570	85,570
Other non-current assets		62,550	62,550	62,550	62,550	62,550
Total Non-Current Assets		1,045,009	853,406	658,656	460,696	261,910
Total Assets		3,527,199	3,780,975	4,150,347	4,589,445	5,174,875

Appendix

Balance sheet –Liability and Equity

TKN Unit : K Baht	Note	2566 2023E	2567 2024E	2568 2025E	2569 2026E	2570 2027E
Liabilities						
Current Liabilities						
Short-term borrowings		174,589	174,589	174,589	174,589	174,589
Current Portion of Long-Term Debts		34,800	34,800	34,800	34,800	34,800
Trade and other current payables		744,456	906,000	1,082,369	1,257,797	1,442,308
Current portion of lease liabilities		19,437	19,437	19,437	19,437	19,437
Income tax payable		22,620	22,620	22,620	22,620	22,620
Other current liabilities		35,409	43,093	51,482	59,826	68,602
Total Current Liabilities		1,031,310	1,200,538	1,385,297	1,569,068	1,762,355
Non-Current Liabilities						
Long-term borrowing		119,384				
Lease liabilities		57,808	57,808	57,808	57,808	57,808
Non-current provision for employee benefits		28,634	28,634	28,634	28,634	28,634
Other non-current liabilities		2,075	2,075	2,075	2,075	2,075
Total Non-Current Liabilities		207,901	88,517	88,517	88,517	88,517
Total Liabilities		1,239,212	1,289,055	1,473,813	1,657,584	1,850,872
Equity						
Issued and paid-up share capital		345,000	345,000	345,000	345,000	345,000
share Premium (Discount) On Ordinary Shares		1,315,440	1,315,440	1,315,440	1,315,440	1,315,440
Surplus (Deficits) From Changes In Interest In Subsidiaries		1,186	1,186	1,186	1,186	1,186
Retained Earnings (Deficits)						
Appropriated - Legal reserve		34,500	34,500	34,500	34,500	34,500
Unappropriated		599,385	803,318	987,932	1,243,258	1,635,401
Other Components Of Equity - Others		(5,722)	(5,722)	(5,722)	(5,722)	(5,722)
Equity Attributable To Owners Of The Parent		2,289,789	2,493,723	2,678,336	2,933,663	3,325,805
Non-Controlling Interests		(1,802)	(1,802)	(1,802)	(1,802)	(1,802)
Total Equity		2,287,987	2,491,920	2,676,533	2,931,860	3,324,003
Total Liabilities And Equity		3,527,199	3,780,975	4,150,347	4,589,445	5,174,875

Appendix

Cash Flow statement

TKN Unit : K Baht	Note	2566 2023E	2567 2024E	2568 2025E	2569 2026E	2570 2027E
Cash flow						
Operating Activity						
EBT		760,955	827,426	885,638	1,068,241	1,347,025
Income tax paid		(152,191)	(165,485)	(177,128)	(213,648)	(269,405)
Depreciation and amortization		206,336	209,414	212,561	215,771	216,598
Change in Trade and other current receivables		(99,413)	(141,980)	(156,012)	(170,751)	(198,195)
Change in inventories		(550,439)	(271,289)	(296,187)	(294,604)	(309,859)
Change in other current assets		(167,972)	(64,984)	(71,406)	(78,152)	(90,713)
Change in Trade and other current payables		111,422	161,544	176,370	175,427	184,511
Change in other current liabilities		(3,864)	7,684	8,389	8,344	8,776
Operating Cash Flow		104,835	562,328	582,224	710,627	888,738
Investing Activity						
CapEX		(18,793)	(17,811)	(17,811)	(17,811)	(17,811)
Cash paid and Proceeds		0	0	0	0	0
Investing Cash Flow		(18,793)	(17,811)	(17,811)	(17,811)	(17,811)
Financing Activity						
Dividend		(400,404)	(458,007)	(523,897)	(599,266)	(685,477)
Debt and Borrowings		0	(119,384)	0	0	0
lease liabilities		0	0	0	0	0
Other non-current liabilities		0	0	0	0	0
Financing Cash Flow		(400,404)	(577,392)	(523,897)	(599,266)	(685,477)
Effects of foreign exchange rate changes		0				
Net Cash Flow		(314,363)	(32,874)	40,516	93,551	185,450
Beggin of year		460,590	146,228	113,353	153,870	247,420
End of year		146,228	113,353	153,870	247,420	432,870

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Financial analysis						
Liquidity Ratios and Measures	Unit					
<i>Current position Analysis</i>						
Net working Capital (NWC)		1,450,879	1,727,031	2,106,394	2,559,681	3,150,610
Change in Working NOWC		395,902	276,152	379,363	453,287	590,930
Working Capital	Baht	1,450,879	1,727,031	2,106,394	2,559,681	3,150,610
Current Ratio	Times	2.41	2.44	2.52	2.63	2.79
Quick Ratio	Times	0.86	0.83	0.86	0.93	1.05
<i>Account Receivable Analysis</i>						
Account receivable Turnover	Times	7.20	7.20	7.20	7.20	7.20
Number of Days' Sale in Receivables (DSO)	days	50.66	50.66	50.66	50.66	50.66
<i>Inventory Analysis</i>						
Inventory Turnover	Times	2.90	2.90	2.90	2.90	2.90
Number of Days'Sales in Inventory (DIO)	days	125.97	125.97	125.97	125.97	125.97
<i>Account Payable Analysis</i>						
Account payable Turnover	Times	4.87	4.87	4.87	4.87	4.87
Number of Days' Sale in Receivables (DPO)	days	75.01	75.01	75.01	75.01	75.01
Cash conversiob cycle	days	101.62	101.62	101.62	101.62	101.62
Solvency Ratios						
Ratio of Fixed Assets to Long-Term Liabilities		4.27	7.86	5.66	3.42	1.18
Debt to Equity (D/E)		0.54	0.52	0.55	0.57	0.56
Times Interest Earned (TIE)		48.62	52.78	56.42	67.85	85.29
Profitability Ratios						
Revenue growth		23%	19%	18%	16%	16%
Gross net profit margin	%	32.50%	31.00%	29.90%	30.00%	31.00%
Operating profit margin	%	14.48%	13.20%	12.00%	12.40%	13.40%
Net profit margin	%	11.34%	10.36%	9.43%	9.77%	10.59%
Return on Total Assets (ROA)	%	17.26%	17.51%	17.07%	18.62%	20.82%
Return on Stockholders'Equity (ROE)	%	26.61%	26.56%	26.47%	29.15%	32.42%
Asset Turnover	Times	1.52	1.69	1.81	1.91	1.97
Earning per Share on Common Stock (EPS)		0.44	0.48	0.51	0.62	0.78

Appendix

Cash Flow statement

TKN			2566	2567	2568	2569	2570
Unit : K Baht			2023E	2024E	2025E	2026E	2027E
Note							
DCF							
Base Scenario							
EBIT			776,936	843,407	901,618	1,084,222	1,363,006
Tax rate			20%	20%	20%	20%	20%
NOPAT			621,548	674,725	721,295	867,377	1,090,405
(+ change in working capital (NWC)			395,902	276,152	379,363	453,287	590,930
(+ Depreciation			206,336	209,414	212,561	215,771	216,598
Operating FCFF			1,223,786	1,160,290	1,313,218	1,536,435	1,897,932
(-) CAPEX			(18,793)	(17,811)	(17,811)	(17,811)	(17,811)
FCFF			1,204,993	1,142,479	1,295,407	1,518,624	1,880,121
Terminal value							
Perpetuity Growth							26,354,556
Average							26,354,556
Terminal Growth	inflation rate	2.00%					
	WACC	9.28%					
Discount factor			0.92	0.77	0.70	0.64	0.59
PV of FCFF			1,102,700	875,521	908,442	974,572	1,104,135
PV of Terminal value							15,477,184
Enterprise Values							20,442,553
(+)Cash	THB mn	460,590					
(-) Net Debt	THB mn	(969,406)					
(-) noncontrolling interest	THB mn	(1,802)					
Equity value	THB mn	19,931,935					
# of share		1,380,000					
Share price	THB	14.44					

Appendix

Dividend payment from 2018 to 2027FY

Unit: THB million

